



Statement of Issues

29 May 2025

Elders Limited – proposed acquisition of Delta Agribusiness

Purpose

1. Elders Limited (**Elders**) proposes to acquire 100% of the shares of Delta Agribusiness (**Delta**) (together, the **Parties**) (the **Proposed Acquisition**).
2. This Statement of Issues:
 - gives the Australian Competition and Consumer Commission (**ACCC**)'s preliminary views on competition issues arising from the Proposed Acquisition
 - identifies areas of further inquiry, and
 - invites interested parties to submit comments and information to assist the ACCC's assessment of the issues.
3. Statements of Issues do not refer to confidential information provided by the parties or other market participants and therefore may not fully articulate the ACCC's preliminary position.

Overview of ACCC's preliminary views

4. In considering the Proposed Acquisition, the ACCC applies the legal test set out in section 50 of the *Competition and Consumer Act 2010* (the **CCA**). In general terms, section 50 prohibits acquisitions that would have the effect, or be likely to have the effect, of substantially lessening competition in any market.
5. The ACCC divides its preliminary views into three categories, 'issues of concern', 'issues that may raise concerns' and 'issues unlikely to raise concerns'. In this Statement of Issues there is one 'issue of concern', three 'issues that may raise concerns' and two 'issues unlikely to raise concerns'.

Issue of concern

6. The ACCC's preliminary view is that the Proposed Acquisition is likely to substantially lessen competition in the retail supply of rural merchandise and related agronomy

services in certain local markets in Western Australia, South Australia and Victoria as set out in paragraph 84 below.

Issues that may raise concerns

7. The ACCC's preliminary view is that the Proposed Acquisition may substantially lessen competition in the retail supply of rural merchandise and related agronomy services:
 - in certain local markets in Western Australia, South Australia, Victoria and New South Wales as set out in paragraph 87 below, and
 - at a broader regional, state or national level.
8. The ACCC is also concerned that the Proposed Acquisition may substantially lessen competition in the wholesale supply of rural merchandise in Western Australia.

Issues unlikely to raise concerns

9. At this stage, the ACCC does not consider that the Proposed Acquisition is likely to substantially lessen competition:
 - in the supply of livestock agency services, or
 - in the supply of rural real estate services or financial services.

Making a submission

10. The ACCC invites submissions from interested parties, particularly on the following key issues:
 - the extent to which Elders and Delta compete in the retail supply of rural merchandise – both in the specific local areas identified, and at a broader regional, state and national level – including on price and promotions, product range, quality, service and location
 - the extent to which smaller retailers of rural merchandise (or smaller chains) compete with larger chains (such as Elders, Delta and Nutrien), particularly with respect to price and promotions, product range (including the ability to offer private label products or products sold under an agency agreement (**Agency Products**)), quality, service and location
 - the importance of agronomy services in the retail supply of rural merchandise, and
 - whether the remaining options for the wholesale supply of rural merchandise to retailers in Western Australia would be competitively effective alternatives to the merged entity.
11. Interested parties should provide submissions by 5pm on **12 June 2025**. Responses may be emailed to mergers@accc.gov.au with the title: *Submission re: Elders Limited's proposed acquisition of Delta Agribusiness*.
12. The ACCC anticipates making a final decision on **21 August 2025**, however, this timeline can change. To keep up with possible timing changes and to find relevant documents, interested parties should visit the Mergers Register on the ACCC's website at <https://www.accc.gov.au/public-registers/mergers-registers/public-informal-merger-reviews-register/elders-limited-delta-agribusiness>.

Confidentiality of submissions

13. The ACCC will not publish submissions regarding the Proposed Acquisition. The ACCC will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with section 155AAA of the CCA. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, please identify any confidential information that is provided to the ACCC. The ACCC's [*Informal Merger Review Process Guidelines*](#) contain more information on confidentiality.

About ACCC 'Statements of Issues'

14. A Statement of Issues is not a final decision about a proposed acquisition. A Statement of Issues outlines the ACCC's preliminary views and identifies further lines of inquiry.
15. A Statement of Issues provides an opportunity for all interested parties (including customers, competitors, shareholders and other stakeholders) to ascertain and consider the primary issues identified by the ACCC. It is also intended to provide the merger parties and other interested parties with the basis for making further submissions should they consider it necessary.

The parties

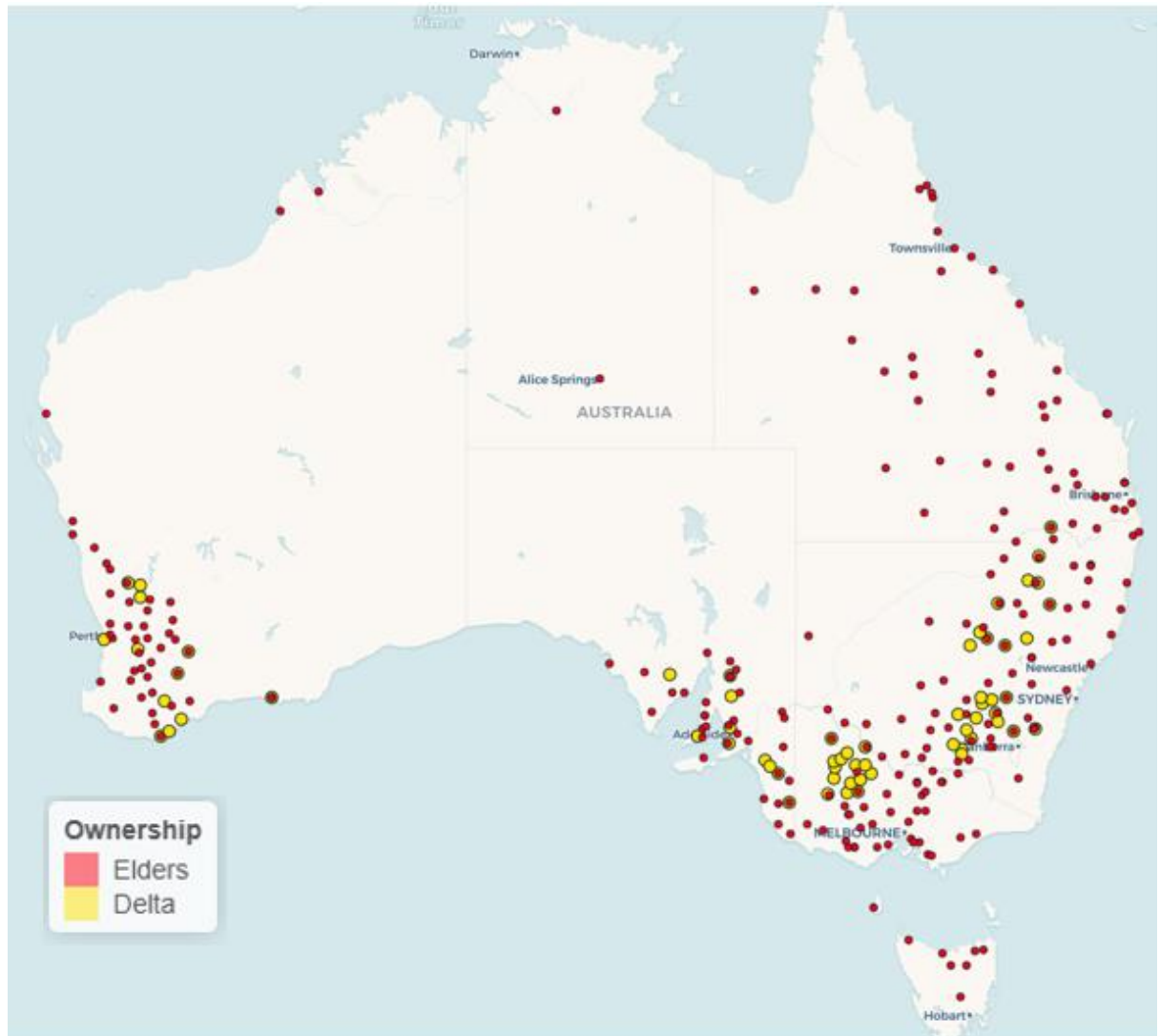
The acquirer: Elders

16. Elders is an ASX-listed (ASX:ELD) agribusiness. Elders has a national presence and supplies a range of agricultural products and services at both a retail and wholesale level. Goods and services supplied by Elders include:
 - rural merchandise
 - agronomy services
 - agency services for livestock and wool
 - real estate services, specialising in the marketing of farms and rural properties
 - certain financial services, and
 - feed and processing services.
17. Elders supplies rural merchandise to agricultural producers and corporate farm customers through its 246 Elders-owned retail stores.
18. Elders also operates a national wholesale business called Australian Independent Rural Retailers (**AIRR**). AIRR supplies rural merchandise on a wholesale basis to independently owned AIRR-member retailers and non-member retailers through Elders-owned AIRR stores and warehouses across Australia.
19. Elders provides agronomy services through various channels including in-store and on-farm (provided on a non-fee-for-service basis), and through its 'Smart Farmer Program' (provided on a fee-for-service basis).

The target: Delta

20. Delta is an Australian retail supplier of a range of rural merchandise products and related services. Delta operates 64 retail stores, primarily in regional areas of New South Wales, Victoria, South Australia and Western Australia. Figure 1 below shows the location of Delta and Elders rural merchandise retail stores across Australia.

Figure 1: Map showing all Delta and Elders rural merchandise retail stores¹



21. Delta's rural merchandise offering includes products such as crop protection, fertiliser, seeds, animal health products, fuel and general rural merchandise such as hardware, fencing, and irrigation products.
22. In Western Australia, Delta also supplies rural merchandise to independent retailers through its wholesale business, Delta WA. It has approximately 40 independent wholesale customers.

¹ Leaflet | © OpenStreetMap contributors © CARTO

23. Delta also provides a range of services, including:
- agronomy services
 - grain marketing services
 - livestock agency services (in Southern NSW only)
 - real estate services through referral agreements with Land, Agribusiness, Water and Development, and
 - financial services through referral agreements with DLL Group (a wholly-owned subsidiary of Rabobank Group).
24. Delta provides agronomy services through various channels including as part of the retail supply of rural merchandise (that is, on a non-fee-for-service basis) and on a fee-for-service basis.

Industry Background

Retail supply of rural merchandise

25. Rural merchandise is an umbrella term for agricultural products purchased by farmers as inputs into operating a farm and is sold through many retail outlets across Australia. Rural merchandise may be split into five broad product categories:
- agricultural chemicals
 - seed
 - fertiliser
 - animal health and nutrition products, and
 - other general rural merchandise (including fencing, cattle crushes and troughs).
26. The ACCC has not compiled an exhaustive list but understands there are approximately 1,500 rural merchandise stores in Australia.

Other key industry participants

27. Nutrien is the largest retail supplier of rural merchandise in Australia with a national footprint of over 380 stores. Like Elders, Nutrien stores typically offer a full suite of rural merchandise as well as in-house agronomy services. Nutrien also supplies rural merchandise at a wholesale level through its wholesale business, CRT.
28. AGnVET is the third-largest retail supplier of rural merchandise in Australia (after Nutrien and Elders) by number of stores (70), however its geographic footprint is limited to only two states, being New South Wales and Victoria. Muirs, another large retail supplier of rural merchandise, has 42 stores spread across Australia.
29. There are several small- and medium-sized chains that supply rural merchandise and related services in Australia. Typically, most medium-sized chains have a network of stores covering no more than 3 states or territories. **Table 1** contains a non-exhaustive list of such rural merchandise retail chains.

Table 1: Examples of small and medium sized rural merchandise retail chains in Australia

Retail chain	No. of stores ²	Operates in:
Pursehouse Rural	35	NSW, Qld
Lindsay Australia	29	NSW, Qld, Vic, SA
Norco Agrisolutions	28	NSW, Qld
AG Warehouse	27	NSW, Vic, Tas
Crop Smart	17	NSW, Vic, SA
McGregor Gourlay	16	NSW, Qld
Cotton Grower Services	14	NSW, Qld, NT, WA
Western Ag	14	Vic, SA
Platinum Ag (JV with Nutrien)	11	Vic, SA
AMPS Agribusiness	6	NSW

30. Standalone rural merchandise retail stores and small chains (comprising up to five stores) make up around one-third of rural merchandise retail stores in Australia. These stores are typically members of a 'buying group' such as AgLink or National Rural Independents (**NRI**) and will purchase their wholesale requirements through these groups. In other cases, stores will use wholesalers such as Nutrien-owned CRT and Elders-owned AIRR. Some retailers may be members of, or have access to, more than one buying group or wholesaler. Buying groups allow smaller retailers to negotiate prices and trading terms using their collective volumes, such that they can enjoy scale benefits beyond what they could each access individually.
31. Standalone retail stores or small chains may be specialised retailers, supplying a more limited range of products and services reflecting their speciality and/or the agricultural production profile of the local area. Some specialised retailers focus on a particular segment of the agriculture industry (for example, broad acre cropping, pastoral or horticulture), while others focus on categories of products (for example, irrigation equipment or stockfeed). Specialist retailers may provide an alternative for certain rural merchandise customers, depending on factors including:
- whether expert knowledge (such as agronomic advice) is required
 - the range and availability of products (and/or the ability to quickly source them), and
 - the ability of the specialist retailer to compete with larger retailers on price, particularly with respect to high-volume orders which larger retailers may supply at a discount.
32. Some rural merchandise suppliers operate a direct-to-farmer model, where rural merchandise is delivered to the farmer via a distributor rather than via a physical retail store (such as 4Farmers, which operates in Western Australia, South Australia and Victoria). While market feedback suggested some farmers purchase rural merchandise through direct-to-farmer suppliers (including by ordering products

² The ACCC notes that these store numbers are based on store location information located on relevant retailers' websites as at 15 April 2025.

online), these farmers may rely on physical 'bricks-and-mortar' suppliers for time-sensitive or low-volume purchases that would be impractical to acquire through a direct-to-farmer supplier.

Agricultural chemicals

33. Agricultural chemicals, or crop protection products, are a key input in agricultural production protecting crops from invasive weeds and pests.
34. Farmers may require agricultural chemicals urgently to manage the threat of a pest incursion. While some farms hold bulk inventory of agricultural chemicals on farms, others rely on local rural merchandise retailers having stock on hand.
35. The marketing of agricultural chemicals can vary depending on whether the active pharmaceutical ingredient is exclusively owned by the original supplier.
36. Where the active pharmaceutical ingredient is exclusively owned ('on-patent'), there is typically only one supplier of products containing that active pharmaceutical ingredient. Some suppliers will sell on-patent products under an agency agreement,³ meaning the manufacturer or distributor (principal) retains ownership of the product until it is sold by the retailer (agent) to the end-customer (referred to as 'Agency Products' in this Statement of Issues). The principal is able to stipulate the price and conditions under which it is sold and can impose requirements on retail stores seeking to become agents, including stewardship (typically this would involve the store having an in-house or partner agronomist) or minimum purchase quantities.
37. Once the active pharmaceutical ingredient is no longer exclusively owned ('off-patent'), formulations of that active pharmaceutical ingredient may be sold in different forms by a range of different suppliers, for example:
 - as a branded product offered by the same supplier that owned the active pharmaceutical ingredient while it was on-patent
 - as a generic product, prepared and distributed by competing suppliers, and
 - as a private label product, developed by the retailer to exclusively supply in-store and (in some cases) supply to other retailers. Elders, Delta, and some other rural merchandise retailers (including Nutrien and Muirs) have private label products.

Agronomy services

38. 'Agronomy services' refers to advice provided to farmers by qualified individuals known as agronomists with specialised knowledge in soil and plant sciences. It encompasses a range of advice and services aimed at optimising crop production and farm management including soil analysis, crop planning, pest and disease management and nutrient management. Farmers can access or acquire agronomy services in a range of ways, including:
 - through rural merchandise retailers as part of the sale of rural merchandise, meaning the service is provided without charge on the understanding that the client will purchase rural merchandise from the retailer that employs the agronomist
 - through rural merchandise retailers on a fee-for-service basis, for example charged on a per-hectare basis, without any obligation to buy rural merchandise from the retailer that employs the agronomist

³ Other rural merchandise products, including seed, fertiliser or machinery, may also be sold under an agency agreement.

- by employing the services of an independent agronomist not connected with a retailer of rural merchandise.
39. The ACCC understands that experienced agronomists can be highly valuable to suppliers of rural merchandise. Many experienced agronomists have decades-long relationships with local farmers, and in certain cases farmers will acquire rural merchandise from a particular retailer based on their relationship with and loyalty to a particular agronomist (who may be affiliated with that retailer), rather than loyalty to the retailer itself. In this way, an experienced agronomist may be able to deliver a local customer base to a particular rural merchandise retailer.
 40. The ACCC also understands that agronomists are valuable to retailers as they are well placed to assist in forecasting volumes of different products that may be required (for example, due to seasonal weather conditions), which can assist retailers with their inventory management.

Fertiliser

41. Some rural merchandise stores stock specialty fertiliser products in-store, however the ACCC understands that the majority of fertiliser is sold in bulk to agricultural producers and delivered directly from port terminals to farms.
42. Rural merchandise stores have accounts with fertiliser companies and offer their customers prices for bulk fertiliser on a direct-from-port basis. Customers typically pay for freight from the port terminal to the farm or collect the fertiliser from the port terminal themselves.

Wholesale supply of rural merchandise

43. Manufacturers, including agricultural chemical companies, importers and other suppliers typically supply retailers through three main channels:
 - **Conventional wholesalers:** businesses that facilitate the supply of rural merchandise on a wholesale basis to retail stores
 - **Buying groups:** member-based groups that engage with manufacturers/suppliers on behalf of member stores to negotiate better terms and access to rural merchandise. NRI and AgLink are major buying groups in Australia
 - **Direct-to-retailer:** where the rural merchandise manufacturer/supplier deals with the retail store directly.
44. A rural merchandise store (or chain) might purchase its stock through a combination of these channels. For example, a store may purchase most of its stock through a buying group, but occasionally purchase limited quantities of products from a conventional wholesaler or directly from the manufacturer/supplier.

Other rural services

45. There are a range of other rural services that both Elders and Delta offer to agricultural producers (either directly or indirectly through referrals):
 - **Livestock agency services:** The primary role of a livestock agent is to arrange the sale of livestock, commonly at saleyard auctions, through private or 'paddock' sales, or 'over-the-hooks' sales (where livestock is delivered directly to meat

processors and an agent negotiates the terms of sale). Livestock agents typically charge producers a commission for their services.

- **Finance:** Some rural merchandise retailers offer financial products, including personal and investment loans, savings accounts, and specialised livestock and crop finance services.
- **Real estate:** including the marketing of farms, residential real estate agents providing sales, and property management services.

Farmers/agricultural producers

46. Rural merchandise is sold by retailers to agricultural producers, who will either come into the store to acquire products and advice, or place orders over the phone, online or by email for delivery.
47. Agricultural producers who manage large (or multiple) farms may issue tenders to retailers, wholesalers and/or manufacturers for the supply of their rural merchandise needs. A trend towards consolidation of farmland over the past 25 years⁴ has meant that, on average, agricultural producers are managing larger-scale and more specialised farming operations.

The Proposed Acquisition

48. On 18 November 2024, Elders entered into a Share Sale Agreement to acquire 100% of the shares in Delta for cash consideration of \$475 million.

Areas of overlap and relevant markets

Product dimension

49. Elders and Delta overlap in the supply of:
 - rural merchandise (including fertiliser, agricultural chemicals, animal health and nutrition products, and seed) and related agronomy services at the retail level
 - rural merchandise at the wholesale level, and
 - finance, real estate and livestock agency services.

Geographic dimension

50. The ACCC is still considering the appropriate geographic dimension of the relevant markets, and is considering the likely impact of the Proposed Acquisition:
 - in various local markets across Australia, and
 - at broader regional, state and national levels.
51. In particular, the ACCC is considering if and how competition occurs at each of these geographic levels (discussed further below).

⁴ Source: Australian Bureau of Agricultural and Resource Economics and Sciences (ABARES), [Snapshot of Australian Agriculture 2025](#)

Retail supply of rural merchandise – Local markets

52. The ACCC is analysing areas of local overlap between Elders and Delta stores and recognises the competition assessment will depend on each local area.
53. The ACCC has applied preliminary screening criteria to identify areas of local overlap that the ACCC is considering in greater detail, using publicly available information regarding store locations and the offerings of third-party stores.
54. The ACCC has taken this approach for the purpose of preliminary screening only, and this does not reflect detailed analysis of critical issues that are relevant to local market competition, which is still being undertaken. Not all areas that meet the preliminary screening criteria will ultimately be of concern, and areas that fall outside of these criteria may nevertheless raise competition concerns and require further analysis.

Preliminary screening approach

55. Market feedback indicates that customers generally source routine purchases of rural merchandise from stores that are located within 50km driving distance⁵ of their farming operations (or 100km in more remote areas). However, how far a customer will travel depends on various factors including the remoteness of the farming operation, the location of nearby rural merchandise retailers, and the availability of product(s). For example, the ACCC understands that some retailers may not have reliable access to certain products (such as certain Agency Products), and customers may therefore source these products from retailers further than 100km away from their farming operation.
56. Market feedback also indicates that customers of Elders and Delta value multi-category rural merchandise retailers and agronomy services (both for the provision of agronomic advice itself, and the access to Agency Products that it enables). The ACCC has therefore sought to identify such stores in the relevant local areas. For the purposes of this preliminary screening approach, a rural merchandise store is considered a 'multi-category retailer' if it meets one of the following criteria:
 - it offers the full suite of rural merchandise product categories (agricultural chemicals, seed, fertiliser, animal health and nutrition, general rural merchandise) as well as agronomy services, or
 - it is part of a chain of four or more rural merchandise retail stores, and is not a specialty retailer (for example, a stockfeed store or a wool broker).
57. The ACCC has sought to identify local markets which are more likely to raise competition concerns based on the number of alternative multi-category retailers located within 50km of each Delta store, and the distance to the closest Elders store.
58. The ACCC's preliminary screening approach is as follows:
 - where an Elders store is located within 50km of a Delta store:
 - if there is either only one or no other multi-category retailer within 50km of the relevant Delta store, the ACCC has identified that local market as being **one likely to raise concerns**, and
 - if there are two other multi-category retailers within 50km of the relevant Delta store, the ACCC has identified that local market as being **one that may raise concerns**

⁵ References to distance throughout this Statement of Issues are to driving distance.

- where the closest Elders store is located between 50km to 100km of a Delta store, and where there is either only one or no other multi-category retailer within 50km of the relevant Delta store, the ACCC has identified that local market as also being **one that may raise concerns**, and
 - local markets where Delta and Elders retail stores overlap but that do not fulfil any of the preliminary screening criteria described above have been identified as **unlikely to raise concerns**.
59. For the purposes of this preliminary screening, where the ACCC has not been able to identify whether a retailer offers the full suite of rural merchandise products and services, that retailer has not been included as a multi-category retailer.
60. As set out above, the ACCC is continuing to consider the competitive offerings and local competitive dynamics in each of these local areas including the offerings of retailers which do not appear to be multi-category retailers.

Retail supply of rural merchandise – Broader geographic regions

61. Elders and Delta each operate at both the retail and wholesale levels and have a geographic footprint spanning multiple states across Australia.
62. The ACCC considers that in markets involving retail chains, competition may occur at more than one geographic level. For example, stores may compete in relation to certain elements of their retail offering at a local level (such as store amenity and level of service), while also competing in relation to other elements of their retail offering at a broader geographic level (for example, where product prices are set at a regional, state or national level). Where such broader competition is occurring, solely focusing on local markets would fail to capture the full competitive impact of the Proposed Acquisition.
63. Therefore, in addition to assessing the competitive impact of the Proposed Acquisition in particular local markets, the ACCC is also considering whether the Proposed Acquisition may substantially lessen competitive constraints on:
- elements of Elders' retail offering that are set at a regional, state or national level, and/or
 - Elders' offering to those customers that make purchases across multiple geographic areas (for example, some corporate farm customers).

Wholesale supply of rural merchandise – Western Australia

64. Elders (through AIRR) and Delta (through Delta WA) overlap in the wholesale supply of rural merchandise in Western Australia. The ACCC is considering whether the Proposed Acquisition is likely to substantially lessen competition in the wholesale supply of rural merchandise in Western Australia.

Previous ACCC decisions

Nutrien's (Landmark) proposed acquisition of Ruralco (2019)

65. In August 2019, the ACCC decided not to oppose the proposed acquisition by Nutrien (via its wholly-owned subsidiary, Landmark) of Ruralco after accepting a section 87B undertaking from Nutrien to divest certain rural merchandise stores. The ACCC considered that the proposed acquisition (subject to the section 87B undertaking) was unlikely to substantially lessen competition as rival rural merchandise retailers and wholesalers would continue to provide a strong competitive constraint on Nutrien. The

ACCC also noted that customer relationships and service were more important than branding to many customers in this industry, which provided greater scope for independent retailers to compete than is the case in some other retail industries.

66. The ACCC considered that while Landmark would be in a strong bargaining position with its suppliers, these suppliers typically had other channels through which to distribute their goods, and any increase in buyer power was not likely to be substantial.

Elders' proposed acquisition of AIRR (2019)

67. In July 2019, the ACCC decided not to oppose the proposed acquisition by Elders of AIRR. The ACCC considered the proposed acquisition was unlikely to substantially lessen competition in any relevant market.
68. Given that there was little direct overlap between the parties, the focus of the ACCC's investigation was on vertical integration, and the potential for vertical foreclosure concerns. The ACCC considered it unlikely that Elders would have the incentive to discriminate against AIRR-supplied independently owned stores to benefit its retail stores, as there were sufficient alternative wholesale and direct-from-supplier options. The ACCC also considered that, while Elders' bargaining power with manufacturers and importers post-acquisition would be strengthened, manufacturers and importers had other channels through which they could supply their products to the market and any increase in buyer power was not likely to be substantial.

Issue of concern – reduced competition in the retail supply of rural merchandise in certain local markets

69. As discussed above, the ACCC considers it appropriate to consider the retail supply of rural merchandise and related agronomy services as a relevant area of competitive overlap, with Elders operating 246 retail stores nationally, and Delta operating 64 retail stores, primarily in regional areas of New South Wales, Victoria, South Australia and Western Australia.⁶

Closeness of competition between Elders and Delta

70. Delta stores appear to compete closely with Elders stores in those local areas in which both Delta and Elders have a retail presence. Both Elders and Delta offer a broad range of rural merchandise products and related agronomy services. Each of Elders and Delta also appears to view the other as a key competitor.
71. The ACCC understands that Delta is valued by customers for its high service quality, and particularly for the quality of advice provided by its agronomists. While Delta primarily provides agronomy services for a fee and Elders primarily provides agronomy services alongside the sale of rural merchandise without charging a fee-for-service, the ACCC understands that in certain regions (such as in Western Australia) both Elders and Delta stores provide agronomy services in conjunction with the sale of rural merchandise (that is, without charging fee-for-service).
72. The ACCC understands that competitive dynamics relating to agronomists are likely to differ in each local market. The ACCC is considering how and to what extent the quality of Delta's agronomy services currently competitively constrains Elders.

⁶ As noted above, the ACCC is considering whether the Proposed Acquisition may substantially lessen competition in the retail supply of rural merchandise and related agronomy services at a broader regional, state or national level, in addition to individual local markets. This is discussed further below in the section 'Issue that may raise concerns – reduced competition in the retail supply of rural merchandise at a broader regional, state or national level'.

73. The ACCC is continuing to investigate the closeness of competition between Elders and Delta retail stores in each relevant local market.

Competitive constraint provided by rivals

Larger retail chains

74. There are a limited number of larger retail chains that supply rural merchandise in Australia. As noted above, Nutrien is the largest retail supplier of rural merchandise in Australia with over 380 retail stores. Other larger chains include AGnVET, with 70 retail stores across New South Wales and Victoria, and Muirs, with 42 retail stores across Australia.
75. The ACCC considers that larger retail chains compete closely with Elders and Delta in those local markets where they have a retail presence, given their similar broad product range and service offerings, as well as potentially benefiting from similar scale advantages discussed below. The ACCC is continuing to investigate the extent to which stores that are part of these larger retail chains may competitively constrain the merged entity in each relevant local market.

Smaller retailers

76. As noted above, there are various individual retailers, as well as various small- and medium-sized rural merchandise retail chains across Australia. The ACCC considers that stores operated by smaller retailers (or smaller chains) may not compete as closely with stores operated by the larger chains (such as Elders and Delta) for a variety of reasons, including those summarised below.⁷
- **More limited product range:** It may not be commercially viable for smaller retailers to stock the same breadth of products as larger retailers, and smaller retailers may not be able to access certain products such as Agency Products. Additionally, smaller specialised retailers may offer a more limited product range tailored to their specialty, such that they are not a complete substitute for larger retailers that typically offer a broader suite of rural merchandise. Smaller retailers that offer a more limited range of rural merchandise may not compete as closely with larger retailers.
 - **Inability or lesser ability to offer private label products:** Market feedback suggests that it is typically not commercially viable for smaller retailers to supply their own private label products, noting the associated regulatory obligations and financial investment required. Given the industry trend towards large retailers selling more private label products (which are typically priced competitively and therefore attractive to customers), the ACCC is considering the extent to which smaller retailers' lesser ability or inability to supply their own private label products may weaken their ability to compete with larger retailers over time.

Some market feedback also suggested that increased sales of private label products may also affect incentives for manufacturers to invest in innovation, but the ACCC's current view is that, to the extent that this particular issue raises concerns, the Proposed Acquisition is unlikely to have an impact on this particular issue.
 - **Higher costs:** Larger retail chains are often able to acquire products from suppliers at a lower cost than smaller retailers, including through achieving volume-related rebates or negotiating more favourable terms. This may make it

⁷ The ACCC notes that there is overlap in the factors identified here and the discussion of wholesale supply below.

harder for smaller retailers to compete with larger retailers on price in some cases, or in relation to particular products.

- **Lower product volume:** Larger retail stores may be able to hold larger volumes of products onsite relative to smaller retailers, and can also more effectively manage inventory risk (including under- and oversupply) by sharing product supply across their network of retail stores. This may make it comparatively harder for smaller retailers to service larger orders or peak demand periods, or to respond to unexpected fluctuations in demand or supply for a product.
77. The ACCC notes that the nature and extent of competitive constraint imposed by smaller retailers (or smaller chains) on Elders is likely to vary across different retailers in each local market.
78. In continuing to investigate the extent to which smaller retailers and smaller chains would competitively constrain the merged entity in each local market, the ACCC will be considering the extent to which each relevant smaller retailer is competitive on price, supplies its own private label products, the product range stocked and the extent to which it is able to service larger orders or peak demand periods.

Direct-to-farmer suppliers

79. The ACCC understands that direct-to-farmer suppliers are a viable alternative to physical 'bricks and mortar' retailers for some products in certain circumstances. However, these suppliers may have certain limitations (for example, a lack of local presence and/or no agronomy services offering) preventing them from being an attractive substitute to traditional physical retailers in many cases. Market feedback was mixed as to how meaningful a substitute direct-to-farmer suppliers are for customers, with market participants raising the lack of flexibility to adjust to seasonal changes and the significant advance notice required for orders as potential reasons that direct-to-farmer suppliers are not viable substitutes.
80. The ACCC's preliminary view is that direct-to-farmer suppliers are likely to provide at least some constraint on the merged entity post-acquisition; however, based on the limitations outlined above, they are unlikely to represent a complete substitute. The ACCC is further considering the extent to which direct-to-farmer suppliers are likely to competitively constrain the merged entity (including whether this is limited to certain circumstances or product categories).

Barriers to entry and expansion

81. The ACCC understands that, compared to some other retail industries, obtaining a suitable physical site for a new rural merchandise retail store is not likely to be an insurmountable barrier to entry or expansion.
82. However, the ACCC understands that there are various other material barriers to entry and expansion in the retail supply of rural merchandise:
- **Sufficient customer base:** the ACCC understands that developing local customer relationships is key to obtaining a sufficient customer base to be commercially viable. Market feedback indicates that many customers of rural merchandise exhibit strong loyalty to local staff who may be affiliated with existing retailers
 - **Access to experienced personnel:** The skills and relationships of experienced local personnel, such as agronomists and store managers, are highly valued in this sector. Such experienced local personnel may be prevented or at least deterred from leaving their existing retailer to establish a competing store (whether as a new entrant or expansion of an existing competitor) given

incentives they may receive to stay at their current retailer and/or non-compete clauses in their contract, which are common in the industry

- **Access to particular products:** As noted above, smaller retailers may face challenges in accessing certain products (such as Agency Products or other on-patent products) or accessing certain products on commercially favourable terms.

83. The ACCC is continuing to investigate the likelihood, timeliness and sufficiency of new entry and expansion in each relevant market, including whether the risk that experienced local personnel will leave current employment and establish a new competing store would be likely to impose a sufficient and timely competitive constraint on the merged entity.

The ACCC's preliminary view

84. The ACCC's preliminary view is that the Proposed Acquisition is likely to substantially lessen competition in the retail supply of rural merchandise and related agronomy services in the local markets identified in **Table 2** below. The town names listed next to each state relate to the relevant local markets based on the location of the Delta store.

Table 2 – Local markets where the Proposed Acquisition is likely to raise concerns

State	Relevant local markets
Western Australia	Albany, Dalwallinu, Hyden, Manypeaks
South Australia	Tintinara
Victoria	Ouyen

85. In each of these local areas, there is an Elders store located within 50km of a Delta store and only one other multi-category retailer within 50km of the relevant Delta store.
86. As set out above, the ACCC is continuing to consider the competitive offering of the multi-category retailer and any other smaller retailers in each relevant area. However, the ACCC is concerned that the Proposed Acquisition may lead to higher prices and/or reduced quality in one or more aspects of the retail supply of rural merchandise and related agronomy services through the removal of Delta as an independent competitor in these local areas.

Issue that may raise concerns – reduced competition in the retail supply of rural merchandise in certain local markets

87. In addition to those local markets identified above as likely to raise concern, the ACCC's preliminary view is that the Proposed Acquisition *may* have the effect of substantially lessening competition in the retail supply of rural merchandise and related agronomy services in the local markets identified in **Table 3** below. The town names listed next to each state relate to the relevant local markets based on the location of the Delta store.

Table 3 – Local markets where the Proposed Acquisition may raise concerns

State	Relevant local markets
Western Australia	Brookton, Gnowangerup, Kalannie, Wellstead
South Australia	Warooka
Victoria	Donald, Nullawil, St Arnaud
New South Wales	Ardlethan, Caragabal, Coonamble, Cowra, Dubbo

88. In each of these local areas, there is either:
- an Elders' store located within 50km of a Delta store and only two other multi-category retailers within 50km of the relevant Delta store, or
 - an Elders' store located between 50km to 100km of a Delta store, and only one competing multi-category retailer within 50km of the relevant Delta store.
89. In relation to these local markets, the ACCC is continuing to investigate those factors noted above in the section 'Issue of concern – reduced competition in the retail supply of rural merchandise in certain local markets', that is:
- the closeness of competition between Elders and Delta, taking into account their price and non-price offering
 - the competitive constraint imposed by rivals in each relevant local market (including larger retail chains, smaller retail chains, standalone retailers and direct-to-farmer suppliers), noting that these will vary in each relevant local market, and
 - the likelihood of timely and sufficient entry or expansion in each relevant local market.
90. The ACCC is concerned that the Proposed Acquisition may lead to higher prices and/or reduced quality in one or more aspects of the retail supply of rural merchandise and related agronomy services through the removal of Delta as an independent competitor in these local markets. However, the ACCC's preliminary view is that the merged entity would likely face stronger competition in these markets, compared to those outlined in paragraph 84 above, noting the greater number of competing multi-category retailers present in these local markets, or the greater distance between Elders and Delta stores relative to other multi-category retailers.
91. As set out above, the ACCC is continuing to consider the competitive offering of both the multi-category retailer(s) and any other smaller retailer in the relevant area.

Issue that may raise concerns – reduced competition in the retail supply of rural merchandise at a broader regional, state or national level

92. In addition to the ACCC's preliminary competition concerns relating to local markets outlined above, the ACCC's preliminary view is that the Proposed Acquisition may have the effect of substantially lessening competition in the retail supply of rural

merchandise and related agronomy services at a broader regional, state or national level.

93. Retail chains often standardise elements of their offering across regions, states or nationally, have nationally recognised brands, and compete with other chains at these broader geographic levels in addition to competing with other retailers at a local level.
94. The ACCC understands that, compared to certain other retail sectors where national chains exist (for example, supermarkets and hardware), the retail offering of a rural merchandise store may be more localised, for example, based on the type of farming in the relevant region. As a result, certain features of retail competition such as pricing, service levels, product range and promotional activities may also be more localised in the supply of rural merchandise.
95. Nevertheless, competition in the retail supply of rural merchandise and related agronomy services may occur at more than the local level, including in relation to prices, product quality, product range, promotions and competition for certain customers.
96. For example, certain customers (such as larger or corporate farm customers) may make purchasing decisions at a broader regional or state level where they have properties across multiple local areas, and competition between retail chains for these larger or corporate farm customers occurs beyond any single local market. These same large customers may face significant transaction costs if they were to deal with multiple local suppliers and so would be unlikely to see a set of such retailers as a competitively effective alternative to a large chain.
97. As another example, some elements of larger chains' private label offerings are likely to be standardised across regions, states and/or nationally. A lessening of competitive constraint on a larger chain at the relevant regional, state or national level (for example, due to the removal of another provider of an equivalent private label product) may enable the retailer to increase the retail price or decrease the quality of that private label product in a particular region, state or nationally.
98. The structure and competitive dynamics in the supply of rural merchandise in Australia have changed since the ACCC's review of Nutrien's (Landmark) proposed acquisition of Ruralco in 2019. Both Elders and Delta have increased their number of retail stores nationally. The ACCC also notes an increase in the level of vertical integration in the industry, with Elders' acquisition of AIRR, Delta's acquisition of David Grays, and Nutrien's acquisition of CRT.⁸
99. If the Proposed Acquisition proceeds, Elders would become one of two large scale suppliers of rural merchandise with a national presence. The merged entity would have 310 retail stores across Australia, combining Elders' current 246 stores with Delta's 64 stores. The only remaining national supplier with a comparable retail footprint would be Nutrien with more than 380 stores. Each of the merged entity and Nutrien, both established national brands, would individually be more than four times larger (by number of stores) than the next largest rural merchandise retailer, being AGnVet with approximately 70 retail stores across Victoria and New South Wales.

⁸ The likely impact of the Proposed Acquisition in relation to the wholesale supply of rural merchandise is discussed further below in the section 'Issue that may raise concerns – reduced competition in the wholesale supply of rural merchandise in Western Australia'.

100. The ACCC is continuing to assess the likelihood of the Proposed Acquisition giving rise to competitive effects at a broader regional, state or national level, including considering:
- the extent to which large retail chains standardise elements of their retail offering at a regional, state or national level, and
 - the closeness of competition between Delta's and Elders' retail chains at a regional, state and/or national level.
101. The ACCC also notes that, to the extent that the Proposed Acquisition has the effect of substantially lessening competition in the retail supply of rural merchandise and related agronomy services at a broader regional, state or national level, this may in turn affect competition in local areas, even where there is currently no overlap between Elders and Delta retail stores.

Questions for market participants

The ACCC invites comments from market participants on its preliminary views on competition in the retail supply of rural merchandise and related agronomy services, and in particular on:

- the closeness of competition between Elders and Delta, at both the local and broader regional, state and national levels
- the nature and extent of the competitive constraint that other retail stores (both chains and specialist stores) are likely to impose on Elders post-acquisition in relation to both price and other aspects of the retail offer, such as product range and services
- the nature and extent of the constraint that direct-to-farmer suppliers impose on rural merchandise retailers with a physical 'bricks and mortar' presence
- the extent to which the retail offerings of each of Elders and Delta and other national, state or regional chains vary on an individual store level
- any advantages that may be negotiated by larger scale retailers when purchasing rural merchandise (such as reduced prices, access to exclusive products, marketing support, transport or distribution benefits, finance terms, rebates, staff training, or any other advantages)
- any advantages that may flow from being a large-scale buyer, such as using the savings from exclusive discounts to compete on price across a broader product range or geographic location
- how quickly and effectively a new retailer could enter or expand in a local market in response to increased prices and/or reduced quality by the merged entity, including direct-to-farmer suppliers.

Local areas

The ACCC seeks views on the following:

- competitive dynamics in any of the local markets identified in paragraphs 84 and 87 above, or any other local areas of overlap that you are aware of, including:
 - how closely Elders and Delta compete in the relevant local area
 - how competitive other rural merchandise retailers and/or specialist stores are in the relevant local area, in terms of their pricing and promotions, product range, service or other aspects of their retail offering
- the suitability of the ACCC's preliminary screening criteria used to identify local markets to consider in further detail, in particular:

- whether 50km (or in more remote or arid areas, 100km) from a given store is an appropriate area to assess local competition
- whether the ACCC's approach to identifying multi-category retailers captures stores that compete most closely with Elders and Delta retail stores.

Issue that may raise concerns – reduced competition in the wholesale supply of rural merchandise in Western Australia

102. The ACCC's preliminary view is that the Proposed Acquisition may have the effect of substantially lessening competition in the wholesale supply of rural merchandise in Western Australia.
103. In Western Australia, key wholesalers include AIRR, CRT and Delta WA, and the key buying groups include AgLink and NRI. **Table 4** below sets out the estimated number of stores that are customers of key wholesalers and buying groups of rural merchandise in Western Australia.
104. The ACCC understands that some retailers in Western Australia are also serviced by specialist wholesalers and via direct supply arrangements with manufacturers/suppliers for certain rural merchandise products.

Table 4: Key wholesalers and buying groups of rural merchandise in Western Australia⁹

Supplier	Estimated number of affiliated independent stores
Wholesalers	
Delta WA	41
CRT	7
AIRR	7
Buying Groups	
NRI (National Rural Independents)	23
AgLink	3

105. Elders (through AIRR) and Delta (through Delta WA) are rural merchandise wholesalers to independent retailers offering a broad range of products including their own private label products, though Elders' wholesale presence in Western Australia is less significant than in the eastern states. The ACCC is considering whether the Proposed Acquisition would significantly reduce wholesale supply options for retailers in Western Australia, particularly for more specialised products like crop protection chemicals, as well as private label products and Agency Products.
106. Market participants have raised concerns about the existing high degree of concentration in the wholesale supply of rural merchandise in Western Australia, with Elders-owned AIRR, Nutrien-owned CRT and Delta WA having significant shares of

⁹ Note that a small number of stores acquire products from more than one wholesaler, meaning that some stores are recorded more than once in this table. As this table only captures independent stores that are formally affiliated with wholesalers, based on publicly available material, the total number of independent stores supplied by each wholesaler or buying group may be higher.

supply. The Proposed Acquisition would further increase the existing levels of concentration in the wholesale supply of rural merchandise in Western Australia, reducing the choices available to retailers and potentially the competitive constraint on Elders post-acquisition.

107. The ACCC understands that some retailers acquire rural merchandise products from a range of supply sources including from buying groups, directly from suppliers and wholesalers (including individual retailers sourcing from multiple different channels). Market feedback suggests that buying groups are an attractive option for retailers that do not want to engage with wholesalers.
108. However, it appears that some supply sources may not be available for certain types of retailers. For example, AgLink appears to primarily supply small- to medium-sized retail chains and may not be an effective alternative for standalone stores. Membership of buying groups may also be difficult to achieve for smaller stores.
109. The ACCC also understands that buying groups such as NRI and AgLink may not be suitable for retailers requiring quick access to products, given that buying groups may not have warehouses or distribution networks in the area; however, some market feedback suggested that the lead time for retailers obtaining supply through a buying group in Western Australia is not materially different from the lead time for obtaining supply from wholesale suppliers such as AIRR and Delta WA.
110. Market feedback also indicated that while larger retail chains are generally able to deal directly with manufacturers, including by securing direct supply agreements, smaller retailers may lack the scale to do so easily. Smaller retailers are more easily able to obtain on-patent products through membership of a buying group, or by buying from wholesalers, than directly from manufacturers.
111. The ACCC is considering the extent to which alternative supply sources may provide a competitive constraint on the merged entity, including the effectiveness of various buying groups as substitutes for wholesale suppliers, and the extent to which retailers are able or required to purchase products from multiple supply sources to meet their needs.
112. The ACCC is also considering the likelihood of timely and sufficient new entry or expansion in the wholesale supply of rural merchandise, and whether Elders would be competitively constrained by actual or potential entry or expansion post-acquisition.
113. The ACCC also notes that, to the extent that rivals of the merged entity in downstream retail markets do not have suitable alternative sources of supply (whether from wholesalers, buying groups, direct-to-farmer suppliers or otherwise), the merged entity may also have the ability to foreclose those rivals. If the ACCC were to determine that the merged entity would be able to foreclose rival retailers' access to rural merchandise, the ACCC will also consider whether it would be likely to have the incentive to foreclose and the effect or likely effect of any such foreclosure.

Questions for market participants

The ACCC invites comments from market participants on its preliminary views on competition in the wholesale supply of rural merchandise in Western Australia. In particular, the ACCC invites comments from market participants on:

- the extent to which alternative wholesalers and direct-to-farmer suppliers provide a close alternative to AIRR and Delta WA
- the extent to which buying groups (such as AgLink and NRI) provide a close alternative to wholesalers (such as AIRR, CRT and Delta WA), including:
 - whether buying groups are able to provide substantively the same offering as wholesalers, in terms of price, product range, distribution capabilities and buying arrangements (for example, in relation to required lead time on orders, minimum order requirements and flexibility to change orders)
 - whether and how easily rural merchandise retailers are able to join a buying group, including any membership requirements which may prevent access to smaller retailers
 - the degree to which members of buying groups can (or are required to) source from alternative suppliers
- the extent to which rural merchandise retailers are able to source from multiple supply sources, including any factors that limit their choice of wholesaler/supplier
- how readily retailers can switch between supply sources, or reduce reliance on their existing supply source(s) by purchasing products elsewhere
- the extent to which retailers are able to purchase rural merchandise directly from a product manufacturer as an alternative to using a wholesaler/buying group
- how quickly and effectively a new wholesaler could enter or expand in Western Australia in response to increased prices and/or reduced quality by the merged entity
- whether the level of competition between rural merchandise wholesalers and buying groups is similar across the country or varies across states and territories.

Issues unlikely to raise concerns

Reduced competition in the supply of livestock agency services

114. Elders and Delta both supply livestock agency services in southern New South Wales. The ACCC's preliminary view is that the Proposed Acquisition is unlikely to have the effect of substantially lessening competition in the supply of livestock agency services in this region, noting that:
- a relatively small share of livestock agents operating in southern New South Wales are employed by Elders and Delta, and
 - the merged entity would continue to be constrained by competing livestock agencies operating in the areas of southern New South Wales where Elders and Delta offer livestock agency services.

Reduced competition in the supply of rural real estate and financial services

115. Elders operates a network of residential real estate agents providing sales and property management services through company-owned and franchise offices. Delta provides access to real estate services to its existing customer base through a referral

agreement with a third-party agribusiness advisory firm, Land, Agribusiness, Water and Development (**LAWD**).

116. Elders provides certain financial products and services such as livestock funding, equipment finance, and home and personal loans through its Australian network. Delta offers off-balance sheet seasonal financing for farm chemicals, fertiliser and seed through a referral agreement with DLL Group.
117. The ACCC's preliminary view is that the Proposed Acquisition is unlikely to have the effect of substantially lessening competition in the supply of rural real estate services and financial services. The ACCC understands that:
 - Delta does not appear to impose a significant competitive constraint on Elders in the supply of these services
 - the merged entity would likely continue to be constrained by LAWD and DLL post-acquisition
 - referrals from these services make up a very small part of Delta's overall business.

Questions for market participants

The ACCC invites comments from market participants on its preliminary views about the impact of the Proposed Acquisition on the supply of livestock agency, rural real estate and financial services.

ACCC's future steps

As noted above, the ACCC invites submissions from market participants on each of the issues identified in this Statement of Issues and on any other issue that may be relevant to the ACCC's assessment of this matter. Submissions should be emailed to mergers@acc.gov.au by no later than **12 June 2025**.

The ACCC will finalise its view on this matter after it considers submissions invited by this Statement of Issues.

The ACCC intends to publicly announce its final view by **21 August 2025**. However, the anticipated timeline may change in line with the *Informal Merger Review Process Guidelines*. A Public Competition Assessment explaining the ACCC's final view may be published following the ACCC's public announcement.